anything, they have lulled investors into thinking that there is no more long term risk, right when long term risk is its greatest.

On a shorter term basis, wave 2 should peak soon. Wave 3 down is next and will be longer and more emotional than wave 1. A preview of its likely behavior is depicted in Figure 16-9, a chart of the Dow-Jones 20 bond index from 1915 to 1933. The "You Are Here" label shows today's approximate position in the unfolding long term decline. Because the current environment is that of a Grand Supercycle peak, not a Supercycle peak as in 1929, the two bear markets

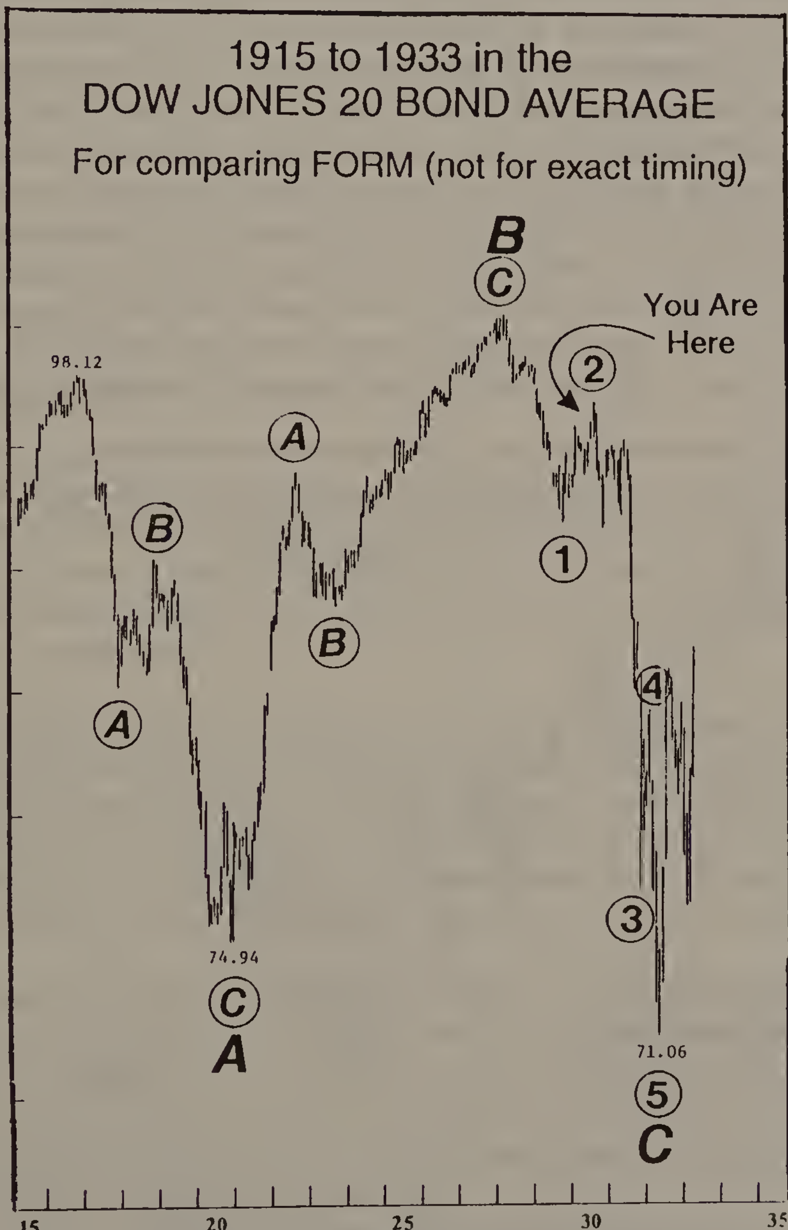

Figure 16-9